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SECTOR AT A GLANCE

Urban Sector in India

An Overview

2023-Urban-SAG-01

Sector at a Glance

Urban Sector in India

An Overview

The '**Sector-at-a-Glance**' provides an easy-to-read overview and basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, government initiatives, and the way forward for the sector.

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Introduction

This document serves as a primer for understanding the urban sector in India. This document provides basic information on the sector – fundamental concepts, key trends, central government priorities and example of potential interventions.

This document attempts to answer the following questions:

1. What does urban refer to?
2. How urbanised is India?
3. Why is urbanisation important for Viksit Bharat 2047?
4. How is urbanisation governed in India?
5. What are the Central Government's priorities?
6. What are some potential interventions going forward?

What does urban refer to?

A. Definition of urban in India

The Census 2011 recognises the following types of urban settlements:

- **Statutory towns:** All administrative units declared by state governments as 'urban', including Municipal Corporations, Municipalities, Cantonment Boards, Notified Town Committees, Town Panchayats, etc.
- **Census towns:** Settlements, other than statutory towns, which satisfy the following criteria:
 - Minimum population of the settlement is 5,000 persons
 - At least 75% of the male main working population are engaged in non-agricultural occupations
 - Density of the settlement is at least 400 persons per sq. km.
- **Urban agglomerations:** A contiguous urban spread constituting a town and its adjoining outgrowths, or two or more physically contiguous towns with or without outgrowths of such towns. The following criteria is applied in identifying urban agglomerations:
 - The core town or atleast one of the constituent towns of an urban agglomeration should necessarily be a statutory town.
 - Total population of an urban agglomeration should not be less than 20,000.
- **Outgrowth:** Village, hamlet or census enumeration block which is contiguous to a town, which may not qualify as an independent urban unit but, by virtue of its urban features in terms of infrastructure and amenities, may qualify to be clubbed with existing towns as their contiguous urban spread or outgrowth

B. Factors attributed to urban population growth

Urban growth in India, as recorded by the Census, can be attributed to four factors:

- **Natural growth of population:** A function of fertility and mortality rates of the population residing in urban areas
- **Rural-urban migration:** The net result of people moving to urban areas for employment, education, marriage or other reasons

- **Expansion of boundaries of statutory towns:** State governments may alter the boundaries of an Urban Local Body to include its outgrowth.
- **Re-classification of rural settlements to urban:** State governments may establish Urban Local Bodies for erstwhile villages or hamlets, or, due to changes in their characteristics, they may meet the criteria to be declared as census towns.

C. Sub-sectors within urban

Under this knowledge portal, the urbanisation sector can be divided into six broad sub-sectors representing different areas of urban management.

Spatial Planning, Design and Development	Urban Transport and Mobility	Urban Economy
Urban Housing	Urban Finance	Municipal Governance

Other areas such as WASH, education, health and energy are covered as separate sectors for the purpose of this Knowledge Portal. A brief summary of some of these sub-sectors is given below:

(I) Urban Water Supply, Sanitation and Solid Waste Management:

India's urban Water, Sanitation, and Hygiene (WASH) sector is a critical component of urban infrastructure and public health, and is crucial for overall urban development. The goal of WASH programs in India is to ensure that individuals and communities have access to clean water sources, adequate sanitation infrastructure, and the knowledge and resources to maintain good hygiene practices.

Overview of existing situation:

• Water and Sanitation



The number of urban households who reported access to a principal source of drinking water for the exclusive use of households stood at ~65% in 2021, a marked improvement from ~47% in 2012.¹



India's average non-revenue water (NRW) is 38%, higher than the global average.²



The proportion of urban households without access to toilets reduced from 18.6% in the 2011 census to only 2.9% in 2020-21.³



Urban residents with access to improved toilet facilities that are non-shared increased from 70% in 2014-15 to 81% in 2019-20.⁴

• Solid Waste Management:

Sanitation infrastructure and wastewater treatment capacity have grown in urban India since the launch of Swachh Bharat Mission (Urban) or SBM-U 1.0 in 2014, and **SBM-U 2.0** now emphasises the safe management of solid and liquid waste at scale. This is essential to realise health benefits from sanitation

¹ Ministry of Statistics and Program Implementation. (2023). *Multiple Indicator Survey in India, 78th Round, (2020-21)*. New Delhi.

² WaterAid. (2018). *State of Urban Water Supply in India*. New Delhi.

National Institute of Urban Affairs. (2021). *Extent of Non-Revenue Water: Training Manual*. MoHUA. New Delhi.

³ Ministry of Statistics and Programme Implementation. (2023, March). *Multiple Indicator Survey of India 2020-21*. National Sample Survey Office. New Delhi.

Office of the Registrar General and Census Commissioner, India. (2011). *Availability and type of latrine facility - 2001, 2011*. Census Digital Library. Retrieved 3 January 2023.

⁴ International Institute for Population Sciences. (2022, March). *National Family Health Survey (NFHS-5), 2019-21: India: Volume I*. Ministry of Health and Family Welfare. Mumbai.

investments, as well as environmental health outcomes.⁵ Furthermore, effective waste management is critical to circular economy efforts and can drive various sustainability outcomes.⁶



There is growing prominence of waste segregation and door-to-door collection in India and a remarkable increase in the country's waste processing capacity from 18% in 2014 to 70% in 2021.⁷



In recent years, plastic waste management rules in India have focused on extended producer responsibility and buyback models, placing the onus on plastic producers to pay for reuse and recycling.⁸



Community-based solutions have helped address open dumping and littering: Women self-help groups (SHGs) have undertaken door-to-door collection systems of solid waste from houses and commercial establishments.⁹

Institutional framework

In India, the subject of WASH falls under the State list of the Constitution. The 73rd and the 74th Amendment to the constitution required state governments to devolve this responsibility to the Urban Local Bodies (ULB) for urban areas. However, the centre continues to play a significant and influential role in the framework.

At the centre, the **Ministry of Housing and Urban Affairs** is the nodal ministry for planning policies and programmes on various aspects of urban development, including WASH. It is primarily responsible for ensuring drinking water supply, municipal solid waste management, and elimination of open defecation to achieve universal sanitation in urban areas.

The **Central Public Health and Environmental Engineering Organisation (CPHEEO)**, operating under the MoHUA, deals with urban water supply and sanitation matters, including solid waste management. Institutional bodies like the **Central Pollution Control Board (CPCB)** enforce rules regarding water quality and prevention of water pollution as enlisted in the relevant legislation.

At the state level, ULBs (municipal corporations, municipalities, and town panchayats) are responsible for designing and executing WASH services in urban areas and they deliver these services along with parastatal organisations such as the state water boards. They operate under the guidance of Municipal Administration, Water Resources, Public Health Engineering, and Urban Development departments. These departments oversee and regulate the ULBs according to national frameworks and state-specific policies and regulations.

Key policies and initiatives:



The National Urban Sanitation Policy, 2008

Overall goal is to transform Urban India into a community-driven, sanitised, healthy and liveable cities and towns, and lays down the draft framework for preparation of state sanitation strategies and city sanitation plans

⁵ Central Public Health and Environmental Engineering Organisation. (2016). *Municipal Solid Waste Management Manual – Part II: the Manual*. Ministry Of Urban Development, New Delhi.

⁶ World Bank. 2022. *Transitioning to a Circular Economy: An Evaluation of the World Bank Group's Support for Municipal Solid Waste Management (2010–20)*. Independent Evaluation Group. Washington, DC: World Bank.

⁷ Biswas, A., Parida, S. et al. (2021). *Waste-Wise Cities: Best practices in municipal solid waste management*. Centre for Science and Environment (CSE) and NITI Aayog, New Delhi.

⁸ NITI Aayog. (2021, October 11). *UNDP Handbook on Sustainable Urban Plastic Waste Management*. UNDP.

⁹ Urban Management Centre. (2019, February). *The Critical Role of Community Based Organizations in Urban Sanitation and Waste Management: A Compendium of Case Studies*. Ministry of Housing and Urban Affairs, New Delhi.



Swachh Bharat Mission- Urban¹⁰

SBM-U targets effective solid waste management, sustainable sanitation, and wastewater treatment. It also aims to create awareness at a large scale and institutional capacity to deliver the programmatic interventions under this scheme.

SBM(U) 2.0 – which was announced in the Union Budget 2021-22 – aims at making urban India free from open defecation and achieving 100% scientific management of municipal solid waste in 4,041 statutory towns in the country. The vision of SBM(U) 2.0 is to achieve Garbage-free status for all cities by the year 2026.



Atal Mission for Rejuvenation and Urban Transformation 2.0 (AMRUT 2.0)¹¹

AMRUT strives for universal coverage of functional household water supply taps in all the statutory towns of the country and sewerage/septage coverage for the 500 cities covered in its first phase. It focuses on:

Promoting the circular economy of water through City Water Balance Plans (CWBP), which focus on the reuse and recycling of treated sewage, rejuvenation of water bodies, and conservation of water

Reforming agenda for improving citizens' quality of life, reducing non-revenue water, and strengthening urban finance



National Urban Livelihoods Mission (NULM)¹²

It aims to facilitate access to drinking water and sanitation services for the urban homeless and develop informal vendors' markets with water supply and waste management facilities.



Swachh Survekshan, originally designed as a competitive monitoring tool, was introduced under the aegis of MoHUA in 2016 and is the world's largest urban sanitation and cleanliness survey. It has been instrumental in fostering a spirit of healthy competition among towns and cities to improve their service delivery to citizens and towards creating cleaner cities.



The **Jal Jeevan Mission (Urban)** was announced in the Union Budget 2021-22. JJM(U) has been designed to provide universal coverage of water supply to all households through functional taps in all 4,378 statutory towns in accordance with SDG Goal- 6. Providing coverage of sewerage/septage management in 500 AMRUT cities is the other focus area.

Key challenges:

Water and Sanitation

- There is a need to ensure equitable water access across cities and enhance the water quantity supplied to households; ~89% of the smaller cities not part of the Smart Cities Mission receive less than the

¹⁰ Ministry of Housing and Urban Affairs. (2021, October). *Swachh Bharat Mission - Urban 2.0: Operational Guidelines*. MoHUA. New Delhi.

¹¹ Ministry of Housing and Urban Affairs. (2021, October). *Atal Mission for Rejuvenation and Urban Transformation 2.0: Operational Guidelines*. MoHUA. New Delhi.

¹² Ministry of Housing and Urban Affairs. (2014). *Deendayal Antyodaya Yojana - National Urban Livelihoods Mission: Mission Document*. MoHUA. New Delhi.

prescribed 135 litres of water per capita per day.¹³ Most Indian cities, on average, supply water for 6–8 hours only, which is sometimes inadequate to meet needs.¹⁴

- There is scope to improve the maintenance of water distribution systems; issues in distribution networks like leakages, theft, and metering errors hurt cost recovery for utilities, contributing to a vicious cycle of deteriorating utility performance.¹⁵
- There is potential to improve water supply quality by increasing the duration of water supply and improving infrastructure; with intermittent water supply (IWS), pipes remain fully pressurised for only a couple of hours daily, and contaminated groundwater infiltrates the pipes during no-supply periods.¹⁶
- There is potential to improve access to and maintenance of household toilet facilities; open defecation continues to prevail due to insufficient toilet facilities, intermittent running water, and improper containment systems.¹⁷
- There is potential to enhance the safety and quality of community and public toilets (CTs and PTs); according to a Ministry of Housing and Urban Affairs (MoHUA) report, women and adolescent girls face challenges in using these due to poor location, inappropriate design, and inadequate maintenance.¹⁷

Solid Waste Management

- There is potential to improve waste treatment capacity in urban areas; about 50% of solid waste and 68% of the wet waste produced in urban areas was treated in 2021, leaving scope for improvement.¹⁸
- There is need to make additional efforts to ensure universal waste segregation and collection at source in urban areas; ~1% of wards lack segregation of waste at source, and ~5% of wards in India still lack door-to-door waste collection.¹⁹

(2) Urban Poverty Alleviation:

Urban poverty in India is a complex and multifaceted issue characterised by inadequate access to basic amenities, lack of quality housing, low income, and limited employment opportunities. The rapid urbanisation in the country is accompanied by the growth of slums and informal settlements, where a significant portion of the urban poor resides.

Overview of existing situation:

According to the National Multidimensional Poverty Index report published by NITI Aayog in 2023, multidimensional poverty in urban areas has witnessed a decrease from 8.65% in 2015-16 to 5.27% in 2019-21. Across the nation, the key areas of deprivation include cooking fuel, housing, nutrition and sanitation.²⁰

Institutional framework:

At the centre, the Ministry of Housing and Urban Affairs (MoHUA) is the primary government body responsible for formulating and implementing policies related to urban development and poverty alleviation. In 2017, the erstwhile Ministry of Housing and Urban Poverty Alleviation (MoHUPA) – whose primary focus was addressing the increasing urban poverty – was merged with Ministry of Urban Development to form MoHUA.

¹³ TERI University. (2017, October). *State of Urban Water and Sanitation in India*.

¹⁴ Prabha, A., Ram, A. & Irfan, Z. (2020). *Exploring the relative water scarcity across the Indian million-plus urban agglomerations: An application of the Water Poverty Index*. Hydro Research, Volume 3, 2020;

NITI Aayog. (2019, August). *Composite Water Management Index: Performance of States*. New Delhi.

¹⁵ NIUA. (2021). *Extent of Non-Revenue Water*;

Council on Energy, Environment and Water. (2018, June). *The Perfect Storm: Pathways to Managing India's Water Sector Sustainably*. United Nations Resident Coordinator's Office, New Delhi.

¹⁶ World Bank. (2014, November). *24x7 Water Supply: FAQs*. World Bank.

¹⁷ Central Public Health and Environmental Engineering Organisation. (2018, November). *Advisory on Public and Community Toilets*. Ministry of Housing and Urban Affairs, New Delhi.

International Institute for Population Sciences. (2022, March). *National Family Health Survey (NFHS-5), 2019-21: India: Volume I*. Ministry of Health and Family Welfare, Mumbai.

¹⁸ CPCB. (2021). *Annual Report on Solid Waste Management (2020-21)*.

Ministry of Housing and Urban Affairs. (2021). *Circular Economy in Municipal Solid and Liquid Waste*.

¹⁹ Ministry of Housing and Urban Affairs. (n.d.). *Mission Progress, Swachh Bharat Mission Urban 2.0*. Retrieved 1 December 2023.

²⁰ NITI Aayog. (2023). *National Multidimensional Poverty Index: A Progress Review 2023*. New Delhi: NITI Aayog.

At the state level, ULBs are key players in the execution of urban poverty alleviation programs at the local level – they are responsible for implementing various schemes, ensuring basic amenities, and addressing the needs of the urban poor within their jurisdictions.

States are expected to set up a State Mission Management Unit (SMMU), with functions tailored to address the specific urban poverty challenges within their jurisdictions. SMMUs set mission targets for ULBs, based on the targets²¹ set by the National Mission Management Unit for the state. ULBs are guided in their efforts by the respective state Urban Development Department, housing boards and development authorities.

Key policies and initiatives:



Deendayal Antyodaya Yojana (National Urban Livelihoods Mission), 2013

A mission to reduce poverty and vulnerability of the urban poor households by enabling them to access gainful self-employment and skilled wage employment opportunities.

- Provide shelter equipped with essential services to the urban homeless in a phased manner
- Address livelihood concerns of the urban street vendors by facilitating access to suitable spaces, institutional credit, social security and skills for accessing emerging market opportunities

NULM has two components – one for urban and the other for rural India. The urban component is named Deendayal Antyodaya Yojana (DAY).



Atal Mission for Rejuvenation and Urban Transformation (AMRUT), 2015, and AMRUT 2.0, 2021

The AMRUT missions were aimed at providing the national priority basic services (i.e., water supply, sewerage, urban transport) to households and build amenities in cities which will improve the quality of life for all, especially the poor and the disadvantaged. AMRUT 2.0 in particular is aimed at providing universal coverage of sewerage and septage management in 500 AMRUT cities and promoting circular economy of water



Pradhan Mantri Awas Yojana (Urban), 2015

This flagship scheme focuses on providing affordable housing to all, catering to both rural and urban areas. The urban component addresses the housing needs of the economically weaker sections and low-income groups.



Atmanirbhar Bharat Abhiyan (Self-Reliant India), 2020

One of the components of this mission is Affordable Rental Housing Complexes (ARHC) for Migrant Workers / Urban Poor, whereby migrant labour/urban poor will be provided living facilities at affordable rent under Pradhan Mantri Awas Yojana (PMAY). This will be achieved by: (i) converting government funded housing in the cities into ARHCs through PPPs, and (ii) incentivising manufacturing units, industries, institutions, associations to develop ARHCs on their private land and operate them.

²¹ Targets for each financial year pertain to Adding Trade, Adding course, Adding curriculum for the courses, Adding empanelled institutes and creating user credential for institutes, Attaching courses to institutes, Adding certifying agencies and creating user credentials for certifying agencies (NULM Frequently Asked Questions - Ministry of Housing and Urban Affairs. (n.d.). *General FAQs. Deendayal Antyodaya Yojana-National Urban Livelihoods Mission (DAY-NULM)*. Retrieved 1 December 2023.)



Inclusive Cities Centre (ICC)

Established by MoHUA and NIUA, with strategic support from GIZ, to help cities use evidence-based planning and raise investments for inclusive development, improve urban productivity and quality of life for all with a focus on the most vulnerable groups including the urban poor, persons with disabilities, women, children, youth and the elderly



PM Street Vendor's Atma Nirbhar Nidhi (PM SVANidhi), 2020, launched to facilitate collateral free working capital loan to street vendors, to help them restart and strengthen their businesses



Jal Jeevan Mission (Urban), 2023

This mission is aimed towards strengthening infrastructure for universal water supply coverage in urban areas.



Swachh Bharat Mission 2.0 (Urban), 2023

One of the objectives of this mission is mobilising urban poor women, differently-abled men and men in vulnerable occupations into thrift and credit-based Self-Help Groups (SHGs) and their federations/collectives



National Multidimensional Poverty Index Report, 2023

This report provides multidimensional poverty estimates up to the district level for India's 36 States and Union Territories, across 12 indicators of the national MPI.²² These estimates were computed using data from the National Family and Health Survey (last conducted in 2019-21).

Key challenges:

- The pace of rural-to-urban migration often outstrips the government's capacity to implement public infrastructure projects, leading to the growth of underserved informal settlements.
- Land ownership and tenure issues in informal settlements often complicate efforts to provide sustainable housing solutions for the urban poor, also leading to risk of forceful eviction
- Training programs need to be aligned with market demands to ensure that the urban poor acquire skills that make them employable and economically self-sufficient.

²² These parameters include nutrition, child and adolescent mortality, maternal health, years of schooling, school attendance, cooking fuel, sanitation, drinking water, electricity, housing, assets, and bank accounts. - NITI Aayog. (2023). *National Multidimensional Poverty Index: A Progress Review 2023*. New Delhi: NITI Aayog.

How urbanised is India?

A. Urbanisation in India relative to the world

The definition of 'urbanisation' or 'urban' areas varies across the world. Several studies have indicated that the current definitions of 'urban' in India are not reflective of the extent of urbanisation that the country has already witnessed. Thus, while it seems lower compared to the rest of the world, the actual magnitude of urbanisation in India is higher than that of developed countries.

Table 1: Level of urbanisation (2011) in countries and world average

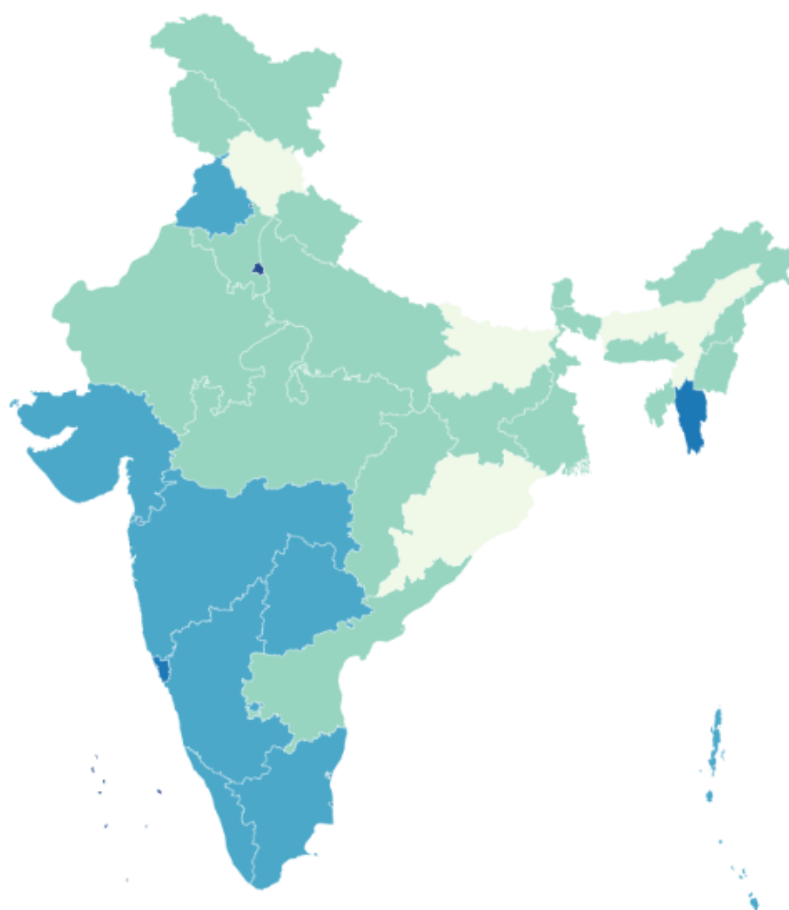
India	Brazil	China	Russia	South Africa	World
31%	85%	51%	74%	63%	52%

Source: UN-Habitat²³

B. Variation in urbanisation across states and UTs in India

Figure 1: Level of urbanisation in states and UTs of India (2011)

< 20 20-35 35-50 50-75 ≥ 75



Map data: © OSM • Get the data • Created with Datavwrapper

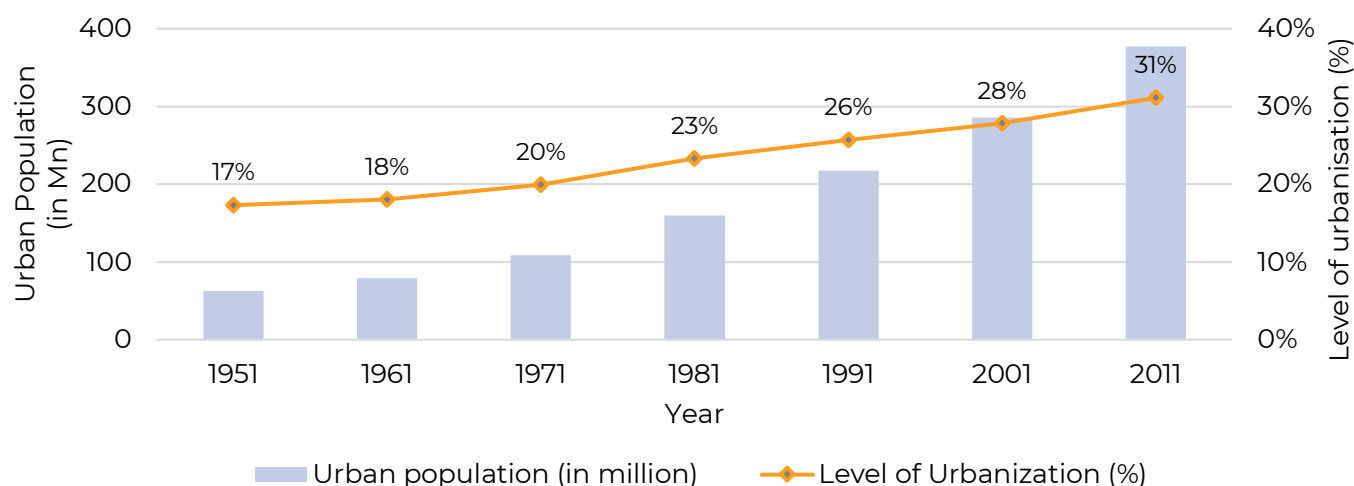
Source: Census of India²⁴

²³ UN-Habitat. (2018). *World Urbanization Prospects*. World Bank.

²⁴ Office of Registrar General & Census Commissioner, India. (2011). *Census of India*.

C. Urban growth trend in India

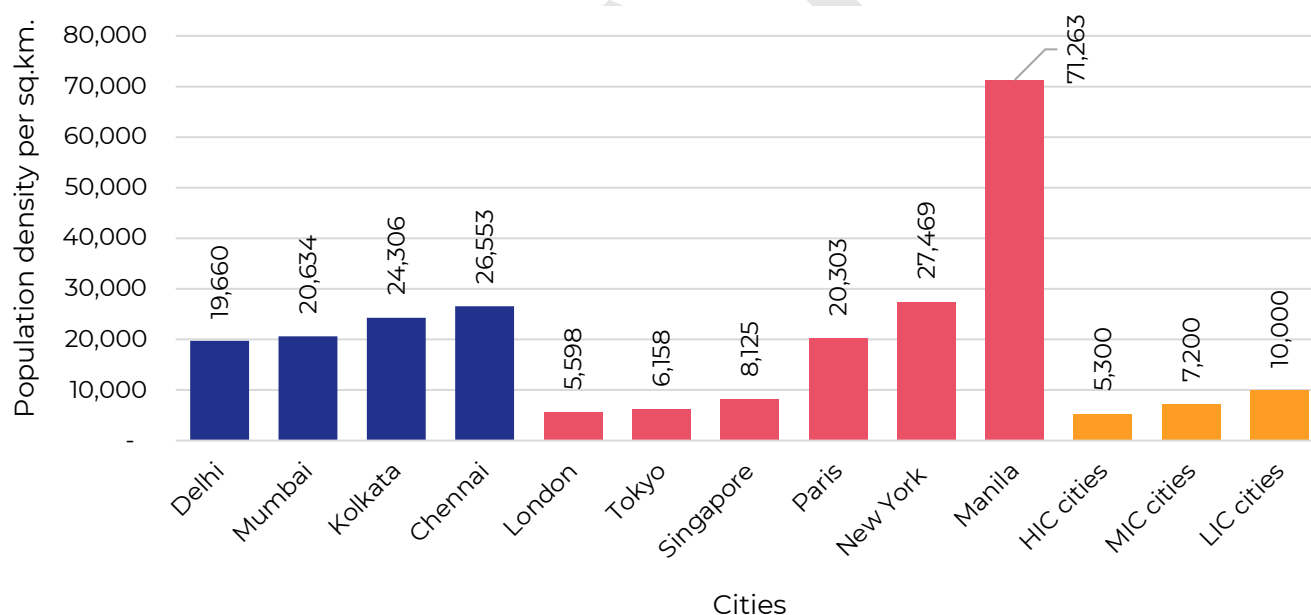
Figure 2: Urban population and level of urbanisation in India (1951 to 2011)



Source: Census of India 2011²⁵

D. Population density of cities in India amongst highest in the world

Figure 3: Density (persons per sq.km) in select Indian and international cities and world averages classified by country income levels



Source: Census of India 2011²⁵ and OECD Regions and Cities at a Glance 2020²⁶

HIC Cities: Cities in High Income Countries,

MIC cities: Cities in Middle Income Countries,

LIC cities: Cities in Low Income Countries.

²⁵ Office of Registrar General & Census Commissioner, India. (2011). Census of India.

²⁶ For London: London Councils. (2022, June 28). *Population and census*.

For Paris: Paris (Department, Île-de-France, France) - *Population Statistics, Charts, Map and Location* (citypopulation.de)

For New York: Department of Health. (2023, April 1). *Table 2: Population, Land Area, and Population Density by County, New York State - 2020*. Department of Health, New York State.

For Tokyo: Tokyo Metropolitan Government. (2015, November). *About our city: Tokyo's History, Geography, And Population*. Tokyo Metropolitan Government

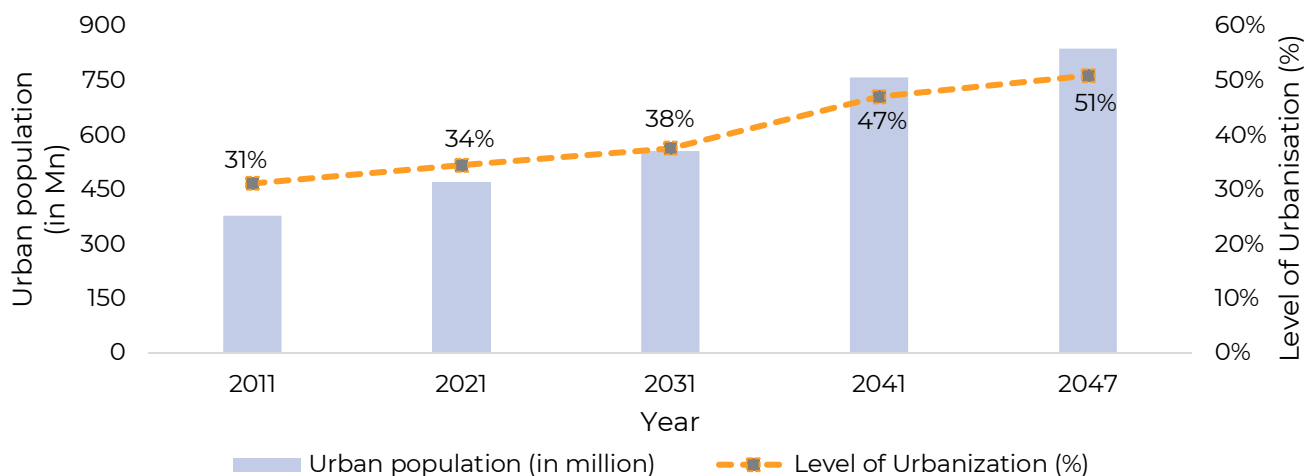
For Singapore: Department of Statistics, Singapore. (2023, November 06). *Population and Households*. SingStat DOS.

For Manila: CEIC Data. (2015, n.d. n.d.). *Philippines Population Density: NCR: City of Manila*.

Why is urbanisation important for Viksit Bharat 2047?

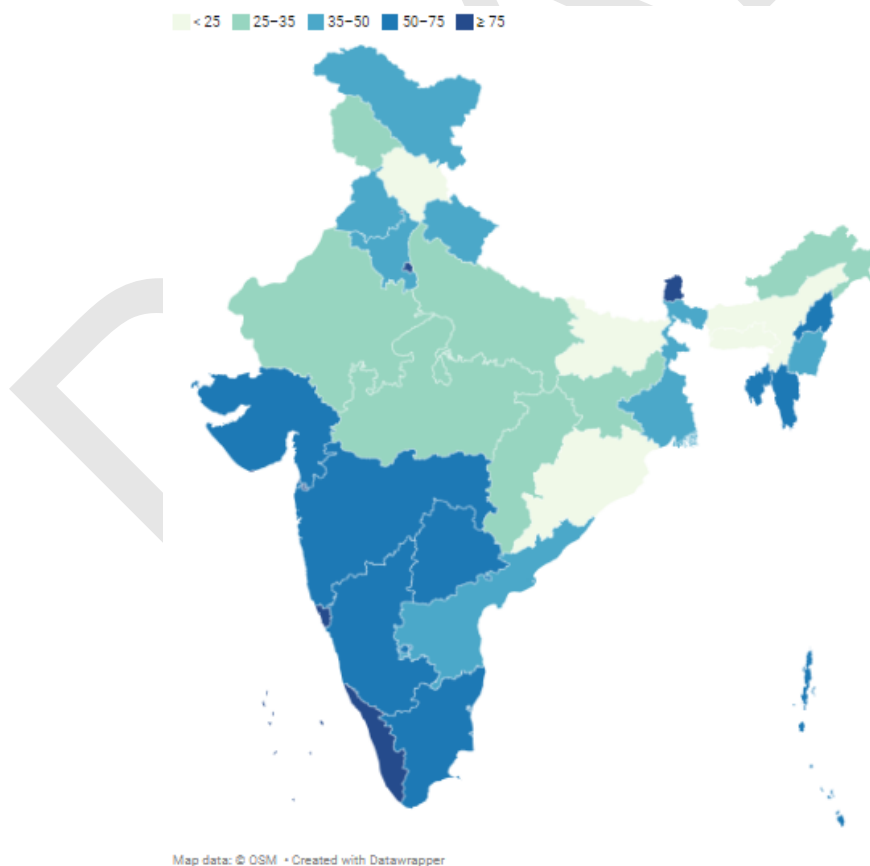
A. India's urban future

Figure 4: Projected urban population and level of urbanisation for India



Source: Population Projections for India and States²⁷ for period 2011 to 2031; UN Habitat²⁸ for period 2041 to 2047

Figure 5: Projected level of urbanisation across states and UTs in India (2036)



Source: Population Projections for India and States²⁷

²⁷ Office of Registrar General & Census Commissioner, & Ministry of Health and Family Welfare. (2020). *Population Projections for India and States (2011-2036)*.

²⁸ UN-Habitat. (2018). *World Urbanization Prospects*. World Bank.

According to the Census 2011, 11 states and seven Union Territories²⁹ had an above-average share of urban population in relation to the whole of India. By 2036, the same states and UTs are projected to achieve more than 50% urbanisation.

B. Co-relation between urbanisation and economic development

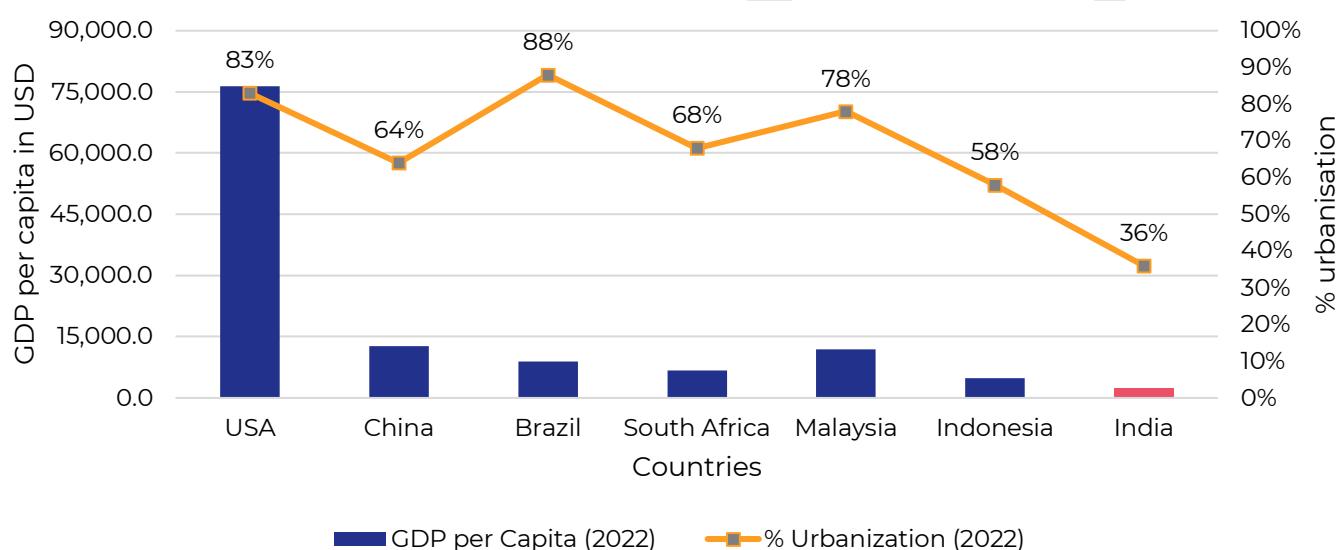
Table 2: Level of urbanisation in countries classified by income level

High Income Countries	Upper Middle Income Countries	Lower Middle Income Countries	Low Income Countries
82%	68%	42%	35%

Source: UN Habitat³⁰

Globally, a positive correlation is observed between urbanisation and the GDP per capita – which indicates that greater urbanisation contributes to an increase in economic productivity. However, in India, there is a need to better harness the potential of agglomeration economies to reap the benefits of increasing urbanisation.

Figure 6: Correlation between GDP per capita and level of urbanisation internationally



Source: UN Habitat³⁰

²⁹ States: Goa, Mizoram, Tamil Nadu, Kerala, Maharashtra, Gujarat, Telangana, Karnataka, Punjab, Haryana, West Bengal; Union Territories: Delhi NCT, Chandigarh, Lakshadweep, Daman and Diu, Puducherry, Dadra and Nagar Haveli, Andaman and Nicobar Islands

³⁰ UN-Habitat. (2018). *World Urbanization Prospects*. World Bank.

How is urbanisation governed in India?

A. Urban Development – a State subject

Under the Constitution of India, the state government is responsible for managing urbanisation.

“Article 246, 7th Schedule, State List, 5. - Local government, that is to say, the constitution and powers of municipal corporations, improvement trusts, districts boards, mining settlement authorities and other local authorities for the purpose of local self-government or village administration.”

B. Legislative framework for managing urbanisation

Listed below are urban sector central and typical state laws. Other laws concerning land acquisition, real estate regulation, environmental protection, though not specific to urban areas, have a bearing on urban development.

- **74th Constitutional Amendment:** Provides for constitution and functions of urban local bodies, finance commission, ward committees as well as metropolitan and district planning committees.
- **State Municipal Act:** Governs the constitution, powers and responsibilities of urban local bodies.
- **State Town Planning Act:** Governs the preparation of land-use plans and regulation of development as well as constitution of urban planning and development authorities.
- **Development Authority Acts** facilitate establishment of an authority to plan, coordinate and supervise development at the regional level (essentially urban centres and their agglomeration areas). For e.g., *The Mumbai Metropolitan Region Development Authority Act, 1974*
- **Special Area Development Authority Acts** facilitate establishment of an authority for planning, development and administration of special areas notified by the State Government. For e.g., *the Maharashtra Housing and Area Development Act, 1976 governs the laws related to housing, repair and reconstruction of dangerous buildings and improvement of slum areas in the state.*
- **State Unified Metropolitan Transport Authority Act:** Governs planning and regulation of urban transport in metropolitan areas.
- **Slum Areas (Improvement and Clearance) Act, 1956 and State Slum Acts:** Provide for protection of notified slum tenants, improvement and clearance of slum areas.

C. Institutions involved in managing urbanisation

Ministry of Housing and Urban Affairs

Apex authority at the national level responsible for policy formulation, developing and managing programs, co-ordinating with other ministries and state governments on matters related to urban development and housing

National-level urban sector agencies falling under its purview include the Town and Country Planning Organization, National Institute of Urban Affairs and Building Materials & Technology Promotion Council, Housing and Urban Development Corporation Ltd and Central Public Health and Environmental Engineering Organization (CPHEEO).

Finance Commission

Set up under Article 280 of the Constitution is responsible for recommending tax devolutions and grants-in-aid for transfer of funds from Union to States. It also makes recommendations for transfer of funds from the Union to local governments including Urban Local Bodies.

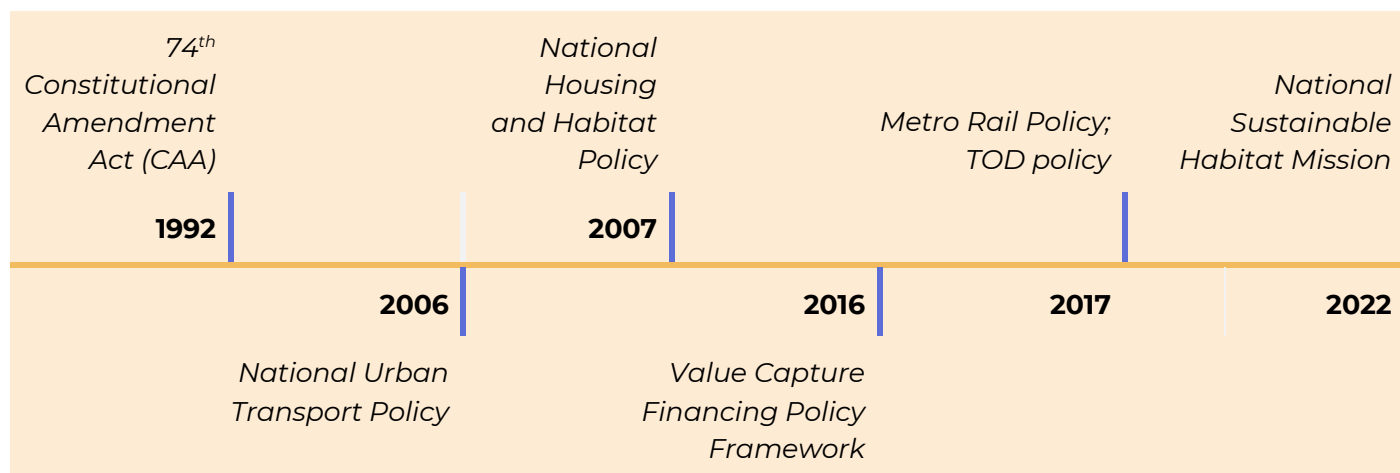
State Urban Development Department	Nodal agency at the state level for policy formulation, managing programs, co-ordinating with other departments and MoHUA on matters related to urban development.
State Finance Commission	Article 243-I of the Constitution provides for setting up of SFCs and Article 243-Y provides that one of its roles would be to make recommendations on devolution of taxes and grants-in-aid to be transferred from the state to Urban Local Bodies.
Metropolitan Planning Committee (MPC)	74 th Constitutional Amendment provides that MPCs be set up by state governments in all metropolitan areas with a population of more than one million which would be responsible for preparing a draft development plan for the metropolitan area.
Metropolitan and Urban Development Authorities	Agencies set up by state governments which are responsible for planning, regulating development and developing infrastructure in the metropolitan region or city.
Unified Metropolitan Transport Authorities	Agencies set up by state governments which are typically responsible for mobility planning, co-ordinating amongst various transit agencies, managing transport-related investments and regulating mobility.
Urban Local Bodies (ULBs)	This could be in the form of Municipal Corporations, Municipal Councils Or Town Panchayats. They form the third-tier of government and are governed by an elected body. ULBs are responsible for overall urban management though their role in infrastructure and service delivery may vary from state to state.
Water Supply and Sewerage Boards	State parastatals which are responsible for planning, design, development and delivery of water supply and sewerage services in an urban or metropolitan area

Ministries at the national level (such as Indian Railways, Ministry of Environment, Forest and Climate Change, Ministry of Road Transport and Highways, Ministry of Finance) as well as state departments (such as housing department, finance department, transport department), though not specifically mandated to manage urbanisation, bear sectoral responsibilities which intersect with urbanisation.

What are the central government's priorities?—

A. Policy framework

Urbanisation has been a national priority since the First Five Year Plan. Key central government policies for managing urbanisation are provided below.

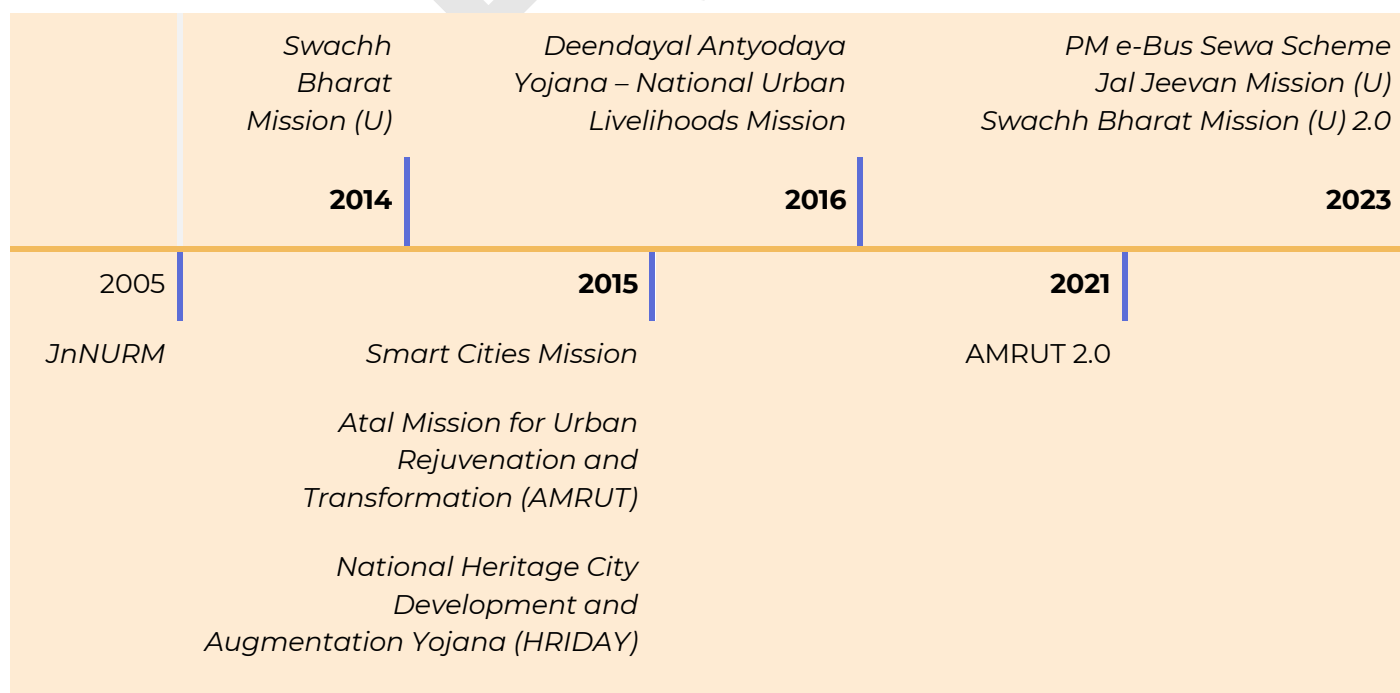


The National Urban Transport Policy in 2006 aims, as part of its vision, to enable Indian cities to become “engines of economic growth” that power India’s development in the 21st century. The India@75 strategy in 2018 recognised cities as economic drivers and recommended setting up City Economic Councils and measuring urban economy activity for data-driven decision making.

B. Central Government schemes

Some of the erstwhile urban schemes by the central government are Environmental Improvement of Urban Slum Scheme (1972), Integrated Development of Small and Medium Towns (1978), Urban Basic Services (1986), Mega City Scheme (1993), Jawaharlal Nehru National Urban Renewal Mission (2005)³¹.

The existing urban sector schemes of the Ministry of Housing and Urban Affairs are provided below.



³¹ Mathur, O. P., & Naqvi, A. H., & Laroyia, A., & Samyukta, V. S., & Verma, H. (2021). *State of the Cities India*. Institute of Social Sciences.

C. Central Finance Commission (2021 to 2026)

The Central Finance Commission (CFC) recommended allocation of INR 1,21,055 crore for ULBs for the period 2021 to 2026.³² It does not specify ULB-wise allocation.

- The CFC has recommended performance-linked grants under a Million-Plus Cities Challenge Fund focusing on ambient air quality improvement and improving water and solid waste management services.
- For ULBs other than the million-plus cities, 60% of the grant is tied to improving sanitation, SWM and water supply (including rainwater harvesting and water recycling).
- The CFC has also recommended INR 8,000 crore for incubation of new cities and INR 450 crore for shared municipal services.

Entry-level conditions recommended by the CFC for accessing grants are related to disclosure of municipal accounts, setting of floor rates for property tax and increase in municipal revenue commensurate to the growth of Gross State Domestic Product (GSDP).

Central Government Budget for FY 2023 (2022-23) and FY 2024 (2023-24)³³

2022-23: The budget speech of the finance minister highlighted the following points related to urban development:

- Academic institutions in different regions will be designated as centres of excellence for knowledge building in urban planning and design
- Shift to public transport with clean technology, governance solutions, special mobility zones with zero fossil-fuel policy
- Financial support for formulation of action plans and their implementation for facilitating Transit-Oriented Development and Town Planning Schemes by the states
- Eighty lakh houses for PMAY beneficiaries

Allocations under the budget include:

- Allocation for AMRUT 2.0: INR 7,300 crore
- Allocation for Smart Cities Mission: INR 5,800 crore
- Allocation for MRTS projects: INR 23,875 crore
- Allocation for PM Awas Yojana: INR 48,000 crore

2023-24: The budget speech of the finance minister highlights the following points related to urban development.

- Encouraging states and cities to undertake urban planning reforms
- Improving credit worthiness of cities to raise municipal bonds
- Setting up of an Urban Infrastructure Development Fund (UIDF) to finance urban infrastructure in Tier-2 and Tier-3 cities
- Enabling cities and towns to achieve 100% transition to mechanical desludging of septic tanks and sewers as well as scientific management of dry and wet waste.

Allocations under the budget include:

- Allocation for AMRUT 2.0: INR 8,000 crore
- Allocation for SCM: INR 8,000 crore
- Allocation for MRTS projects: INR 23,175 crore
- Allocation for Metropolitan transport projects by Indian Railways: INR 2,450 crore

³² XV Finance Commission. (2020). *Finance Commission in COVID Times: Report for 2021-26, Volume I: Main Report.*

³³ Ministry of Finance. (2022). *India Budget.*

What are potential areas of intervention going forward?



Tracking economic activity and housing affordability

Data on economic activity and housing affordability can aid in design of urban investment as well as guide preparation of masterplans.

Related data is collected by various government agencies, but not readily available in a consolidated manner at the city region level.



Urban economic development strategies

Economic strategies formulated at the city-region or city level can be adopted as the fundamental document which guides land-use and infrastructure masterplans. This would require translating national and state economic development plans into urban sector strategies and setting up appropriate institutional framework



Strategic use of mobility for urban development

Mobility investments can be used strategically to catalyse rejuvenation of existing business districts, development of new growth centres, improve access to affordable housing as well as reduce cost of urban freight.

For this, mobility plans need to be mainstreamed into the economic development, housing and land-use strategies and plans. As opposed to limiting mobility plans to sustain urban growth resulting from these strategies.



Climate- and gender-sensitive urban management

Impeding impacts of climate change and the low female labour force participation rates are important concerns for the urban sector.

Addressing these issues requires a holistic and outcome-oriented approach to urban management. This could be enabled through institutional as well as planning reforms.



Financing and governance reforms to improve credit-worthiness of ULBs

The urban infrastructure investment requirement is estimated at INR 61 lakh crore between 2021 and 2036 as compared to the actual capital investment of INR 6 lakh crore between 2011 and 2018.³⁴ Key interventions which could be considered include enhancing the capacity of SFCs to ensure timely transfers, improved property tax management, land value capture and empowering ULBs to recover the operating cost of providing services.

³⁴ Athar, S., White, R., & Goyal, H. (2022). *Financing India's urban infrastructure needs constraints to commercial financing and prospects for policy action*. Washington, D.C.: World Bank.

Recommended Readings

- Athar, S., White, R., & Goyal, H. (2022). *Financing India's urban infrastructure needs constraints to commercial financing and prospects for policy action*. Washington, D.C.: World Bank. <https://documents1.worldbank.org/curated/en/099615110042225105/pdf/P17130200d91fc0da0ac610a1e3e1a664d4.pdf>
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